Financial reporting

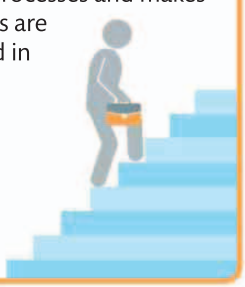
Financial reports are everywhere: a bill at a restaurant is a financial report, as are sales receipts and bank statements. In business, however, financial reporting refers to the financial statements that make up a company's annual report and accounts. Compiled by accountants, they provide investors and lenders with information to assess a company's profitability, and enable company managers, government, tax authorities, and other stakeholders to evaluate the business.

Types of financial reports

Financial reports take many forms and can contain a vast amount of information about a company's finances, work, core business values, performance, employees, and its compliance with local, logistical, domestic, and international laws. The most important financial report, or statement, is usually the annual report—essentially a collection of many other, smaller reports—which sums up how the business has performed in the last year. There is a multitude of laws, regulations, and guidelines governing what should be put into this report.

THE ACCOUNTING CYCLE

The eight steps of the accounting cycle are used by nearly all accountants. The cycle helps by standardizing processes and makes sure that accounting jobs are performed correctly and in the same way and order for every activity.
See pp.102–103.



The annual report

Financial statements usually appear in a company's annual report and sum up its financial activities in a standardized way for different audiences to interpret quickly and clearly. These statements take diverse forms, and being able to deconstruct them is a vital skill for accountants and businesspeople, making it simple to see how well a business is performing and why.

$50 billion

the amount hidden via loans diguised as sales by Lehman Brothers in 2008